

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-04

ICL USA, Inc.,
COMPLAINANT,

v.

Dependable Highway Express, Inc. and
Mediterranean Shipping Company, (USA) Inc. on behalf of Mediterranean Shipping Company,
S.A.,

RESPONDENTS.

**OPPOSITION TO DEPENDABLE HIGHWAY EXPRESS, INC.'S
MOTION TO DISMISS**

Introduction

Months of failed negotiations between the parties were based primarily on Dependable Highway Express, Inc.'s ("DHE") failure to accurately and consistently track and invoice its services. On the detention charges side of the dispute, DHE continuously was unable to justify its detention invoices in the amount of \$142,385 from MSC issued to DHE and passed through to ICL USA, Inc. ("ICL") by DHE. These pass-through invoices were particularly contentious since ICL had been able to convince Mediterranean Shipping Company, (USA) Inc. on behalf of Mediterranean Shipping Company, S.A. ("MSC") to waive them all by challenging these with the support of Blue Cargo, a specialized software in dealing with the causes of demurrage and detention, obtained at a per annum cost of \$18,126 by ICL, plus heavy costs in manhours in

implementing these defenses. ICL's waiver activities successfully obtained \$904,492.00 in waivers from ocean common carriers during the pertinent period. Compl. ¶ 17. These waivers, obtained by ICL, included the \$142,385 detention charges from MSC as noted herein, accomplished on behalf of DHE without any compensation or input from DHE. Compl. ¶ 18. DHE's disingenuous position of describing itself as a victim in these circumstances, is more of an illustration of DHE's unwillingness or inability to properly analyze and review demurrage and detention charges invoiced to it from ocean common carriers pursuant to its relationship with such ocean common carriers established by the terms and conditions of the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA"), in this case with MSC.¹

Pursuant to the terms of the UIIA, DHE incurs demurrage and per diem (detention) charges for failing to pick up loads from the ocean common carrier's (MSC) terminal before free time expires and failing to return empties before free time expires. Compl. ¶ 9. Usually, but for the actions taken by ICL, these charges would in the maritime industry normally have been eventually allocated to ICL pursuant to bill of lading and/or Rules Tariff terms. Compl. ¶ 9. In

¹ The FMC has repeatedly recognized the ability of motor carriers as parties eligible to defend against violations of the Shipping Act on their own behalf with respect to unlawful charges related to demurrage and detention. The BlueCargo review of terminal and appointment availability is fully described in the Initial Decision in Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC, Possible Violations of 46 U.S.C. § 41102(c), Docket No. 2109 (April 22, 2022), an FMC Investigation in which Golden State Logistics ("GSL"), **a drayage company exactly like DHE**, demonstrated the use of and efficacy of BlueCargo in challenging ocean common carrier per diem charges on the basis of insufficiency of available appointments for purposes of returning empties on a timely basis. Interestingly, like in the DHE matter, GSL was similarly invoiced for per diem by the ocean common carriers pursuant to the UIIA agreements, which it challenged on its own behalf at the FMC utilizing BlueCargo for purposes of establishing the defense that appointments were not available at the specific terminals for which per diem had been assessed as ICL has done for this matter vis a vis MSC and other ocean common carriers. Motor Carriers clearly have a seat at the FMC table in relation to demurrage and detention charges assessed to them via the UIIA process that DHE did not exercise which forced ICL to take matters into its own hands.

effect, ICL's waiver efforts were obtained for the benefit of both DHE (the party invoiced) and ICL (the party which may have ultimately been invoiced). Compl. ¶ 17.

The detention costs which remain in dispute with MSC and DHE, and which DHE is unlawfully claiming from ICL, are amounts which DHE claims it paid to MSC allegedly on ICL's behalf for eight containers for which it is seeking to be recompensed by ICL for \$45,565 for the following containers:

Invoice	Date	Container	Per Diem
M108495_1	12/28/21	MEDU4750583	\$6,225.00
M114113_1	01/04/22	TGBU9596658	\$270.00
M108496_1	01/07/22	MEDU8852095	\$6,655.00
M108497_1	01/07/22	FSCU9871687	\$6,655.00
M108501_1	01/07/22	TGBU9872170	\$6,870.00
M114358_1	01/13/22	MSMU8245602	\$1,710.00
M115123_1	02/28/22	TGHU9192869	\$7,515.00
DHE_M114106_ICL	03/04/22	FFAU4127763	\$9,665.00

Compl. ¶ 21.

ICL did not pay these invoices for the following reasons. ICL obtained waivers for the invoices issued to DHE from MSC which included these containers, and, further, DHE was not authorized to pay the invoices on ICL's behalf for unlawfully charged invoices (pursuant to the Incentive Principle 46 C.F.R. § 545.5) which is the standard applied to the BlueCargo technology analysis upon which the waivers were granted. In short, the following are the reasons for DHE's gratuitous payments of these invoices:

1. These invoices were unequivocally waived by MSC at ICL's behest, and, nevertheless, without permission from ICL, DHE allegedly paid the amounts of \$45,565.00² which it is curiously seeking to be paid by DHE per its filing of a federal court proceeding in California, and requesting to be dismissed in this proceeding with the federal agency with the exclusive expertise with these demurrage/detention issues;
2. DHE was not authorized by ICL to advance the payment of demurrage and detention as required pursuant to DHE's own motor carrier Rules Tariff which requires that these advances would be only paid "**upon authorization of the customer and the discretion of DHE.**"³ (Emphasis supplied). There was no incentive for ICL to pay for MSC invoices which were never issued in the name of ICL by MSC, and more importantly, for which ICL had managed through its own expense and manhour efforts to have the entirety of MSC's invoices waived⁴ on behalf of DHE motivated by the fact that DHE was not making any efforts due to its lack of IT resources of the type of Blue Cargo to effectively dispute these charges.

² See Compl. ¶ 14, Exhibit 1. "DHE Summary of MSC Paid and Unpaid Per Diem Carriers", Sheet 2, See Column G for relevant items in green with pertinent notations in Column K with specific reference to the waiver process and supporting waiver documents in Compl. Exhibit 2. Note the commentary in that paragraph that one item could not be located in the amount of \$270, which waiver has now been provided by a baffled DHE and is attached hereto as Attachment A to this Reply. Therefore, when added to the proofs of MSC waivers in Exhibit 2, the whole amount of \$45,565.00, the alleged amounts paid by DHE to MSC for which it is unlawfully seeking compensation from ICL. It is unlawful in the sense that if payments were indeed made to MSC as claimed by DHE, this was not on behalf of ICL since the waivers were in place and if paid before the waivers were issued, then MSC unlawfully accepted these if it has indeed received these and if it has not recompensed DHE accordingly.

³ See Compl. ¶ 15.

⁴ See Exhibit 2 Compl. & n.2 with regard to the final missing waiver for \$270.

3. Lastly, the payment of \$45,565 in invoices to MSC for containers which had been waived pursuant to the BlueCargo Incentive Principle, 46 C.F.R. § 545.5, is a violation of the Shipping Act, 46 U.S.C. § 41104(a)(2)(A), by MSC acting “**in conjunction with any other person, directly or indirectly**”—with DHE acting as that person. (Emphasis supplied).

DHE filed a claim in the Central District of California against ICL to recover the detention and other charges assessed and invoiced to DHE by MSC. (Case No. 2:23-cv-05484-DDP-E). ICL has sufficiently alleged that these underlying detention charges are violations of the Shipping Act and has requested that the C.D. Cal. case be stayed, while the Shipping Act violations are addressed in this proceeding because of the FMC’s primary jurisdiction over the Shipping Act.

More directly related to this proceeding, the detention charges issued to DHE by MSC related to alleged payments by DHE to MSC totaling \$45,565.00 which are the subject of Count 1 pled as violations by MSC “either alone or in conjunction with any other person”—here, DHE—of 46 U.S.C. § 41104(a)(2)(A) to the extent that these charges were waived (*see* Exhibit 2 Compl. to confirm the relevant waivers) by MSC pursuant to ICL’s request, and that MSC, the party which granted the waivers, unlawfully retained such amounts paid to it by DHE in violation of the Shipping Act. ICL has properly alleged that DHE’s role in this FMC matter is as either a party “in conjunction with MSC,” pursuant to 46 U.S.C. § 41104(a)(2)(A) and/or as a necessary and/or indispensable Party per the terms of Fed. R. Civ. Proc. 19.

Specifically, DHE, in conjunction with MSC, has invoiced ICL for per diem charges that are unlawful. First, the charges are unlawful because—as ICL has proved through the use of

BlueCargo, a software that identifies appointment availability at the ports—that the per diem charges were a violation of the Incentive Principle.

Second, DHE’s alleged pass-through of these charges were unlawful because—for the per diem charges that ICL was able to obtain a waiver from the ocean carriers—DHE continues to claim those amounts from ICL. DHE continues to claim these charges in three ways: (1) DHE has claimed those amounts from ICL; (2) DHE has charged an admin fee on those charges that DHE has not waived, even though the underlying charges have been waived; and (3) DHE has charged interest to ICL on the underlying charges, even though the charges have been waived and would never have been DHE’s obligation to pay, but which through their own act of sheer folly allegedly made these payments.

The matters constituting this FMC proceeding, from which DHE seeks departure through its claim that the FMC lacks personal jurisdiction over DHE is shallow in view of DHE’s basis for supporting their claims against ICL which are interwoven intricately with the actions of MSC, thereby meeting the requirements of DHE’s role as a necessary and indispensable party to this proceeding. It is DHE that is claiming charges against ICL for monies it paid to MSC for which ICL had no liability as indicated in the facts discussed above. While we admit that a motor carrier is not by that definition a regulated party. However, when it does become intricately involved in the acts of a regulated party for purposes of violation of 46 U.S.C. § 41104(a)(2)(A), it is “another person” as noted in that Section with involvement in the alleged activities resulting in violations for regulated parties. The persons with whom that regulated party interacted that resulted in violations are persons over which the FMC has personal jurisdiction.

If this case presented *only* questions concerning straight away charges by DHE as a motor carrier against ICL, then the Commission might not have jurisdiction to resolve those issues. But

DHE appears to conveniently ignore its role in the underlying facts related to detention charges with MSC upon which it rests its demand for payments on what are clearly violations of the Shipping Act by MSC. The FMC has clearly stated: “we wish to point out that this agency’s jurisdiction is as set out in statute, and we cannot, by our own act or omission, enlarge or divest ourselves of that statutory jurisdiction.” *Am. Union Transp., Inc. v. River Plate & Brazil Conferences*, Docket No. 758, 5 F.M.B. 216, 224 (FMC Mar. 25, 1957); *see also* Interpretive Rule on Demurrage and Detention Under the Shipping Act (“Demurrage and Detention Rule”), Docket No. 19-05, 85 Fed. Reg. 29638, 29644 (May 18, 2020).

Facts

The ICL has alleged in this matter, the following:

1. ICL retained DHE as a motor carrier to undertake to pick up loaded containers at port terminals where MSC discharged ICL’s shipments, and to return such containers after they were devanned. Compl. ¶ 11.
2. Motor carriers such as DHE, are entitled to remove equipment such as containers from ocean common carrier terminals pursuant to a Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”) with ocean common carriers, in this case MSC. Compl. ¶ 9.
3. Pursuant to the terms of the UIIA, DHE incurs demurrage and per diem (detention) charges for failing to pick up loads from the ocean common carrier’s (MSC) before free time expired and failed to return empties before that free time expired. Compl. ¶ 9.
4. DHE, allegedly as a trucker, provided invoicing and collection services of per diem in the liner trade on behalf of MSC and/or purportedly on behalf of ICL by

assessing (passing through) the per diem charges DHE had initially received pursuant to the UIIA terms and conditions to ICL for purposes of collecting potential per diem charges from ICL pursuant to MSC's terms and conditions if the demurrage/detention activities reached the level of breaches by ICL of bill of lading, and/or Rules Tariff Terms and conditions, which in this matter, never happened as a result of the waivers obtained by ICL from MSC. Compl. ¶ 4.

5. DHE also unilaterally undertook to advance certain detention (per diem) payments in the amounts of \$45,565, purportedly for demurrage and detention charges owed by ICL to MSC for which ICL had obtained waivers. Compl. ¶ 13.
6. DHE is now claiming for refund of these payments from ICL, notwithstanding that DHE, pursuant to its motor carrier tariff (DHE's Rules Tariff, Paragraph 15 (c)), required the "authorization of the Customer" to advance any demurrage and/or detention funds on behalf ICL. Compl. ¶ 15.
7. ICL has never granted any such authority, nor did DHE ever seek to obtain such authority from ICL. Compl. ¶ 15.
8. ICL has alleged that the entirety of Respondent MSC's charges of \$142,385, and corresponding Admin Fees of \$14,238.50 as charged by DHE to ICL as MSC pass throughs in per diem and/or per diem related invoices issued to DHE were waived by MSC as a result of ICL's undertaking, at its sole expense, utilizing a software in the maritime industry named Blue Cargo—that identifies port availability to determine whether detention and demurrage charges were lawfully assessed—to have these invoices waived by MSC as to DHE, and potentially as to ICL. Compl. ¶ 16.

9. The waivers are based on the facts demonstrated that the pick-up of loaded containers or return of empties were impossible to accomplish in view of congestion issues and port appointment unavailability from ocean common carriers (MSC) and their terminals to schedule pick-ups or return of empties. Compl. ¶ 22.
10. These waivers were secured and based upon the legal standards set by the FMC at 46 C.F.R. § 545.5 Interpretive Rule on Demurrage and Detention Under the Shipping Act (“Demurrage and Detention Rule”), Docket No. 19-05, 85 Fed. Reg. 29638, 29651 (May 18, 2020) (citing *Distribution Services Ltd. v. Trans-Pac. Freight Conf. of Japan and its Member Lines*, Docket No. 86-12, 24 S.R.R. 714, 722, 1988 FMC LEXIS 52, at *16-18 (FMC Jan. 6, 1988) (quoting *Investigation of Free Time Practices – Port of San Diego*, 9 F.M.C. 525, 547 (FMC May 24, 2966))). Compl. ¶ 17.
11. In fact, ICL had been successful in having MSC waive the entirety of its invoices it had issued to DHE in the amount of \$142,385, including for the amounts allegedly paid by DHE to MSC for \$45,565.00 for which DHE is now seeking refunds from ICL **notwithstanding that DHE now has an opportunity to seek these refunds from MSC**, the party to whom DHE wrongfully paid without getting or even seeking ICL’s approval. Compl. ¶ 22.
12. In fact, ICL to protect itself obtained waiver of MSC’s invoices that were wrongly paid by DHE and unlawfully accepted by MSC in view of their waiver by MSC. Compl. ¶ 22.

13. Because of this, MSC and DHE are intractably bound in the FMC issues of the invoicing and payments of demurrage and detention to the detriment of ICL.

Compl. ¶ 22.

14. As noted above, ICL had solely taken the expensive steps to get all of MSC's detention invoices to DHE, which DHE was passing on to ICL, waived in their entirety. Compl. ¶ 14. Again, as noted above, ICL had never authorized DHE to advance any demurrage and/or detention payments to MSC on its behalf, and had it requested such authority it would have denied it on the basis that such invoices had been waived by MSC.

The above facts related to DHE's involvement in its claims for refunds and other payments related to MSC detention invoices are completely interwoven in facts that comprise the rights of ICL in the DHE claims based on unlawful and improper detention invoices and payments on its behalf which were unlawfully taken by DHE which come squarely into the FMC jurisdiction---i.e., the payment of demurrage and/or detention which have been waived based on unreasonable and unjust practices by MSC (with DHE's involvement) of the FMC Interpretive Rules with respect to demurrage and detention.

Pursuant to Fed. R. Civ. Proc. 19(a)(1), in the absence of DHE's presence in the FMC action, the FMC cannot accord complete relief among existing parties because the absence of DHE in the FMC proceeding would ensure that ICL, (i) as a practical matter is impaired or impeded in its ability to protect its interests; or (ii) leaves ICL, an existing party, subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations with respect to demurrage and detention charges which are being sought by it in the California court.

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See, e.g., Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 2006 FMC LEXIS 19, at *24 (FMC May 10, 2006) (holding “the Commission is obligated to hear those allegations particular to the Shipping Act”); *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 FMC LEXIS 14, at *33-34, (FMC Oct. 31, 2000) (affirming that alleged violations of the Shipping Act including claims regarding “just and reasonable regulations and practices, are inherently related to Shipping Act prohibitions and are therefore appropriately brought before the Commission.”); *Chief Cargo Services. v. FMC*, 586 Fed. Appx. 730, 731, 2014 U.S. App. LEXIS 18831, at *2 (2d Cir. 2014) (“The FMC’s jurisdiction extends to all alleged violations of the Act.”).

Argument

DHE’s motion to dismiss for lack of personal jurisdiction and failure to state a claim should be denied because DHE is subject to the jurisdiction of the FMC as a person directly or indirectly acting in conjunction with MSC to violate the Shipping Act and as a necessary or indispensable party under Rule 19 to address such alleged violations. On a motion to dismiss, the FMC is directed “to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant’s favor.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov, Complainants, Kairat Nurgazinov, Claimant, v. Michael Hitrinov A/k/a Michael Khitrinov, and Empire United Lines Co. Inc., Respondents*, 2023 FMC LEXIS 67 at *10-*11; 2023 WL 1963462, at *6 (citing *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009); *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007)).

I. The Verified Complaint Adequately Alleges the FMC’s jurisdiction over the Disputed Matter and Parties Therein.

Respondent states that “the Commission’s regulatory jurisdiction extends only to certain types of entities” and that “[DHE} is not a ‘regulated entity’ over which the Commission’s regulatory jurisdiction extends and accordingly the Commission does not have personal jurisdiction over [DHE].” Mot. to Dismiss at 1. Respondents’ argument that Dependable is a non-regulated entity therefore barring the Commission of jurisdiction altogether is completely unfounded. To the contrary, the Commission has jurisdiction over DHE because (1) DHE was acting in conjunction with MSC and is therefore a regulated entity under the Shipping Act, (2) DHE is a necessary and indispensable party to this matter, and (3) the claims against DHE arise out of “the same nucleus of operative facts” as the claims against MSC, over which the Commission has jurisdiction as an ocean common carrier.

A. The FMC has primary jurisdiction over DHE for its unjust and unreasonable per diem charges.

At the outset, it is well established that the Commission has jurisdiction over alleged violations of the Shipping Act and effectively has jurisdiction over this Complaint because it alleges violations of the Shipping Act of 1984, as amended 46 U.S.C. § 41102(c). Contrary to Respondent’s accusations, ICL is not attempting to have the Commission rule on matters outside of its jurisdiction, but instead seeks remedy for those claims which fall squarely within the Commissions’ jurisdiction. As noted in *TWC v. Evergreen*, the test for the Commission’s jurisdiction is whether a Claimant’s allegations “also involve elements peculiar to the Shipping Act.” *TCW, Inc., v. Evergreen Shipping Agency (Am.) Corp.*, Docket No. 1966(I), 2022 FMC LEXIS 589, at *6 (FMC Dec. 29, 2022). *See also Cargo One, Inc. v. COSCO Container Lines*

Co., Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 FMC LEXIS 14, *32 (FMC Oct. 31, 2000).

Further, precedent has established that irrespective of a party's status or capacity, the Commission's jurisdiction does not automatically stop at the port. *Norfolk S. Railway Co. v. Kirby*, 543 U.S. 14, 27 (2004). Further, claims for Shipping Act violations must be brought at the FMC:

“[T]he Shipping Act does not provide for a cause of action in federal district court; rather, alleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.”

Maersk Line A/S v. Carew, 588 F. Supp. 3d 493, 507 (S.D.N.Y. 2022) (citing *Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014); *MAVL Cap., Inc. v. Marine Transp. Logistics, Inc.*, 130 F. Supp. 3d 726, 730 (E.D.N.Y. 2015)).

B. The FMC has jurisdiction over DHE when DHE acted in conjunction with MSC under 46 U.S.C. § 41104(a)(2)(A).

As noted above, the issues of concern to ICL and which are pled in Count 1 of the Verified Complaint relate to alleged violations by MSC of 46 U.S.C. § 41104(a)(2)(A) which states in part:

- (a) In General. —A common carrier, **either alone or in conjunction with any other person, directly or indirectly**, shall not—
[. . .]
- (2) provide service in the liner trade that is—
 - (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a).

ICL's concern, as it alleged, are the charges assessed to DHE which were passed through to ICL relating to all the MSC shipments that DHE initially passed through to ICL totaling \$142,385. These were unlawfully passed through since that they were waived by MSC. *See* Exhibit 1, Compl. Notwithstanding this, DHE has commenced a legal proceeding to collect from ICL amounts that it alleges it paid to MSC and which MSC has not refunded notwithstanding

that these were fully waived and that ICL had no connection at all with these invoices which were not intended to be paid by anyone in view of the waivers. Compl. ¶ 14. To the extent that DHE was to pay any of these and would have sought ICL's permission to do so as required by DHE's motor carrier Rules tariff, ICL would have clearly directed DHE to not pay these invoices since they had been waived. Compl. ¶ 14.

In effect, DHE's efforts to collect these sums from ICL violates the Shipping Act because DHE is continuing to act as a person "directly or indirectly" "in conjunction with [MSC's detention charges]" "to provide service in the liner trade that is—not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff." 46 U.S.C. § 41104 (a)(2)(A). DHE's remedies are rightfully in this proceeding in which it refuses to participate in order to prevail on MSC to refund the sums unlawfully paid to MSC by DHE. Additionally, MSC is not a named party in the California proceeding.

Thus, DHE is subject to the Shipping Act, whose purpose is to, *inter alia*, "(1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs; (2) ensure an efficient, competitive, and economical transportation system in the ocean commerce of the United States;" and "(3) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs and supporting commerce" 46 U.S.C. § 40101. Here, MSC is a common carrier and DHE acted in conjunction with MSC to violate the Shipping Act by "provid[ing] service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff." 46 U.S.C. § 41104(a)(2).

The Commission has found that it has supplemental personal jurisdiction over parties that are not regulated entities because the claim arises “out of a common nucleus of operative facts” *TCW v. Evergreen*, Docket No. 1966(I) (December 29, 2022) (finding that the Commission has jurisdiction over respondents who are VOCCs and respondents (although not themselves regulated entities) that are related as to the charges of per diem and over actions related to UIIA contractual provisions). In *TCW*, the non-VOCC respondent was the VOCC’s agent, but the relationship need not be principal-agent based on the statutory prohibition that a “common carrier, either **alone** or **in conjunction with any other person**, directly or **indirectly**” Commit violations of the Shipping Act. The Commission has jurisdiction over DHE as the “other person” working “in conjunction . . . indirectly” with MSC under the common nucleus of operative facts. If the Commission declines to exercise jurisdiction over DHE, ICL is left with inadequate relief in the forum statutorily designated by Congress to hear this type of claim: namely, per diem charges in violation of the Shipping Act.

Respondent’s status as a motor carrier does not undermine the FMC’s jurisdiction over the matter at hand. *See TCW v. Evergreen*, 2022 FMC LEXIS 589, at *15 (expressly affirming the rejection of Evergreen’s argument that because the claimant was a motor carrier the claim was outside Commission jurisdiction). Yet Respondent’s motion is riddled with outcry to protect truckers who are “dragged into” disputes. Mot. to Dismiss at 7-9. In an obvious attempt to skew the Commission’s intent, DHE’s response capitalizes on protections established for ordinary traditional motor carriers operating in a trucking capacity. However, respondent cannot cry wolf when in fact Respondent was not even acting in its capacity as a motor carrier when, among other things, it assessed charges as provided in Count 2, when DHE charged 10% to ICL for “advancing per diem funds” on behalf of ICL when, in fact, **these funds had not been advanced**

by DHE, and where per diem had been, in fact, waived in the amount of \$96,820 by MSC.

These charges were assessed when DHE was no longer acting pursuant to the rules as a motor carrier since the motor carrier tariff required the advance payment by DHE of the per diem on behalf of ICL before applying the 10% charge on per diem charges. In this instance DHE is arguably acting in violation of the provisions of the Shipping Act of 1998, as amended which require that only ocean common carriers as defined at 46 U.S.C. § 40102(18) and maritime terminal operators as defined at 46 U.S.C. § 40102(15) may provide such services and assess and collect such per diem related charges. Obviously, DHE was neither a VOCC, NVOCC or marine terminal operator.

Indeed, the Shipping Act establishes that common carriers and marine terminal operators are entitled to assess and collect such charges and it is clear that the 10% mark up charge was not pursuant to motor carrier services. Thus DHE was likely acting not in its capacity as a trucker but instead without restraints was acting as if it were a regulated entity under the Shipping Act warranting the Commission's rightful jurisdiction to scrutinize this activity.

C. DHE is an indispensable party to this proceeding.

DHE is an indispensable party to this matter yet is seeking to avoid involvement in a claim hinged upon charges it directly assessed. The Commission's Rules do not explicitly address required joinder of parties and thus the Federal Rules are to be applied. 46 C.F.R. § 502.12.⁵ To determine if a party is "indispensable" under Federal Rules 12(b)(7) and 19, a court must perform a two-step analysis. *Gen. Refractories Co. v. First State Ins. Co.*, 500 F.3d 306, 312

⁵ See *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, 26 S.R.R. 1396, 1397 (ALJ 1994), citing *CGM/ICT v. Maduro*, 23 S.R.R. 1495 (ALJ 1986).

(3d Cir. 2007). First, the court must determine if the absent parties are “necessary” pursuant to Federal Rule 19(a), which provides:

A person who is subject to service of process and whose joinder will not deprive the court of subject-matter jurisdiction must be joined as a party if: (A) in that person’s absence, the court cannot accord complete relief among existing parties; or (B) that person claims an interest relating to the subject of the action and is so situated that disposing of the action in the person’s absence may: (i) as a practical matter impair or impede the person’s ability to protect the interest; or (ii) leave an existing party subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations because of the interest.

Fed. R. Civ. Proc. 19(a)(1).

If a party is necessary under Rule 19(a)(1) but joinder is not feasible, then the court must determine whether the party is indispensable pursuant to Rule 19(b), which provides:

If a person who is required to be joined if feasible cannot be joined, the court must determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed. The factors for the court to consider include:

- (1) the extent to which a judgment rendered in the person’s absence might prejudice that person or the existing parties;
- (2) the extent to which any prejudice could be lessened or avoided by: (A) protective provisions in the judgment; (B) shaping the relief; or (C) other measures;
- (3) whether a judgment rendered in the person’s absence would be adequate; and
- (4) whether the plaintiff would have an adequate remedy if the action were dismissed for nonjoinder.

Fed. R. Civ. Proc. 19(b).

However, joinder is feasible in this case; thus, the analysis will only determine whether DHE is a necessary party.

“While the party advocating joinder has the initial burden of demonstrating that a missing party is necessary, after ‘an initial appraisal of the facts indicates that a possibly necessary party is absent, the burden of disputing this initial appraisal falls on the party who opposes joinder.’” *Ameriprise Fin., Inc. v. Bailey*, 944 F. Supp. 2d 541 (N.D. Tex. 2013) (quoting *Hood ex rel Mississippi v. City of Memphis*, 570 F.3d 625, 628 (5th Cir. 2009)).

1. DHE is required for proper relief.

Here, DHE claims an interest relating to the subject of this action: specifically, the charges which DHE is attempting to unlawfully pass-through to ICL in violation of the Shipping Act. (Case No. 2:23-cv-05484-DDP-E). Disposing of the action in DHE’s absence would prevent the FMC from according complete relief among existing parties and undoubtedly leave ICL subject to a substantial risk of incurring inconsistent obligations based on DHE’s activities. Fed. R. Civ. Proc. 19(a)(1)(A), (B).

The Commission cannot accord complete relief among existing parties without DHE, as DHE is the billing party that issued the charges to ICL directly, including charges which are assessed by DHE to ICL on its own accord. In addition, MSC invoiced DHE directly for these charges. Given that DHE is the billing party, it is clear that DHE is a necessary party to the claim at issue and therefore DHE is an indispensable party warranting jurisdiction to the Commission—not only because DHE is the party directly invoicing ICL but also because DHE is charging derivative charges that DHE alleges are based on the MSC charges. Without DHE’s involvement in this case, ICL cannot receive complete relief between MSC and DHE related to charges that MSC has or should waive and DHE’s unlawful derivative charges based on those waived charges. Complicating matters further, ICL secured waivers from MSC and yet DHE is disputing those waivers by requiring refunds from MSC of amounts that DHE did not pay and charging ICL for derivative amounts based on underlying charges from MSC that were waived.

DHE is attempting to charge ICL based upon charges that were initially assessed but later waived by MSC. Allowing these charges when the underlying payments were waived inevitably subjects ICL to inconsistent obligations by the nature of the pass-through being attempted. Therefore, DHE is a necessary party to the claim for purposes of establishing the pertinent facts of its role in the pass through of the charges; the payments it alleges it made to MSC for detention that had been waived, and the receipt of refunds, if any it may have received from MSC.

Further, when considering the Federal Rule 19(b) factors—prejudice, shaping relief, and adequate relief—these factors weigh in favor of the Commission denying DHE’s motion to dismiss. Because this is a claim for a Shipping Act violation, the Commission is best suited to adjudicate it. In addition, any prejudice that concerns DHE can be lessened or avoided by the Commission’s knowledge of such prejudice as DHE points out in its Response, and by the Commission’s ability to shape any relief ordered.

2. DHE has necessary and indispensable evidence.

The following are facts that are solely within the capability of DHE to provide and propound as a necessary and indispensable Party for ICL’s purposes of meeting the evidentiary requirements of this Complaint in proving the Shipping Act violations against MSC and in order to fairly and justly meet the requirements of this proceeding and in meeting Plaintiff’s objectives in this proceeding to properly defend itself (ICL) in the proceeding brought by DHE in the Central District of California on the same subject matter which involves detention, the Incentive Principle, and other FMC regulations that require FMC scrutiny. The following material testimony or documentary proofs are uniquely in the possession of DHE as a necessary and indispensable party:

- (1) Proof of payments by DHE to MSC for the detention incurred by the eight shipments in Exhibit 1 which DHE claims it paid to MSC. (DHE has claimed these payments but has not provided proof of same.)
- (2) Proof of refunds from MSC to DHE for any of the eight payments or any other detention transactions included in Exhibit 1, if any.
- (3) Any communications from MSC related to waivers or refunds contrary to the following facts:
 - a) That MSC waivers were provided to ICL on DHE's behalf related to all of the shipments in Exhibit 2 for which waivers are provided in that Exhibit totaling \$142,385.00;
 - b) That refunds of payments noted in Exhibit 1 will not be refunded to DHE by MSC if that is the case, and the reasons why.
- (4) Any communications and/or payments from MSC to DHE related to other shipments waived by MSC which involved ICL shipments but for which DHE had not advanced funds in violation of 46 U.S.C. § 41104(a)(2)(A) and which DHE has not refunded to MSC.

II. The Verified Complaint Adequately States a Claim for a Shipping Act Violation by DHE by MSC acting directly or indirectly “in conjunction with [DHE]” by “provid[ing] service in the liner trade that is—not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff.”

Under the standard outlined in *Twombly* and *Iqbal*, “a complaint must contain sufficient factual matter, accepted as true, to state a claim to relief that is plausible on its face.” *See Iqbal*, 556 U.S. at 678; (citation and internal quotation marks omitted). Based on the well-pled allegations in the Complaint, ICL has stated a claim for relief that is plausible on its face: DHE acted, in conjunction with MSC, a regulated entity, to impose unlawful charges on ICL in

violation of the Shipping Act, as amended 46 U.S.C. § 41104(a)(2)(A), especially in relation to amounts being claimed by DHE are owed to it by ICL for improper, unapproved, and unlawful payments made by ICL to MSC, a regulated entity, and the retention of such funds by MSC, after ICL had obtained waivers for those detention charges.

Respondent DHE contends that ICL has not stated a claim because DHE is not a regulated entity. Mot. to Dismiss at 12. However, as outlined above, DHE's conduct falls squarely under the Shipping Act for DHE's imposition of unlawful charges. DHE's argument ignores the text of the statute that an entity working *directly or indirectly in conjunction with a common carrier* can be liable under the Shipping Act:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—(2) provide service in the liner trade that is—(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract.”

46 U.S.C. § 41104(a)(2)(A).

Specifically, DHE acted in conjunction with MSC to assess unlawful charges. Compl. ¶ 9. DHE charged and attempted to collect a 10% admin fee for advancing per diem funds that were not actually advanced for a total of \$9,682. Compl. ¶ 9. DHE made per diem payments to MSC without ICL's authority as required in DHE's motor carrier Rules Tariff, and MSC retained such amounts contrary to waivers provided by it to ICL. Compl. ¶ 15.

A. ICL has properly alleged that DHE violated the Shipping Act by charging an advancement fee to ICL for underlying charges that DHE never actually advanced to the VOCC (MSC).

Most egregiously, ICL has properly alleged that DHE charged and is attempting to collect from ICL \$9,682 for advancement fee charges that DHE claims are based on underlying per diem charged by MSC. Compl. ¶ 12. But DHE **never actually made any payments on those invoices**

to MSC on which DHE could possibly claim to have incurred an advancement fee. Compl. ¶ 9. And yet, DHE continues to claim this amount of advancement fees from ICL, even though the advancement fee is based on a charge that has been waived—i.e., the per diem charged by MSC does not exist. Compl. ¶ 14.

B. ICL has properly alleged that DHE violated the Shipping Act by charging an advancement fee to ICL in violation of DHE’s motor carrier Rules Tariff.

DHE’s tariff required DHE to obtain the “authorization of the Customer” prior to advancing funds to third parties such as MSC:

1.500.11 Advancing 3rd Party Charges, Payments Made by Carrier on Behalf of Customer: Dependable will, upon authorization of the customer and the discretion of DPHE, advance funds to 3rd parties on the behalf of that customer. Costs required to expedite the carriage of goods, such as forklift charges, demurrage, permit fees, Pier Pass fees, chassis lease fees, etc. will be paid by DPHE and invoiced back to the customer along with a surcharge for this service. The total charge for this service shall be Invoice Cost + 10% surcharge, with a minimum surcharge of \$25.00, except for chassis rental fees, which shall be subject to a surcharge of \$5.00 per use regardless of length, and per diem (steamship line “detention” billing) which shall be subject to a 10% surcharge, with a minimum of \$25.00.

(Emphasis supplied).

DHE never requested, much less, obtained this authorization from ICL. Thus, for all of the charges in the amount of \$45,565 that DHE charged ICL Admin Fees of \$4,556.50 were unlawful, and these charges are based on unlawful charges in violation of the Shipping Act which ICL is demanding from ICL instead of from MSC.

C. ICL has properly alleged that DHE violated the Shipping Act by passing through unlawful charges from MSC that were themselves unlawful.

For this category of charges, the initial charge by MSC violated the Incentive Principle (46 C.F.R. § 545.5) because the per diem charges were incurred when appointments were

unavailable, as demonstrated and accepted by MSC via the BlueCargo analysis provided by ICL. Thus, DHE's pass through of those charges and imposition of Admin Fee charges on top of those charges where it did advance funds to MSC are unlawful charges under the Shipping Act. These charges cannot be serve as a basis for additional Admin Fees especially when DHE will get fully reimbursed for paying its MSC invoices due to the efforts of ICL in obtaining these waivers, and by bringing this proceeding and provisions in Count 1. ICL has undertaken this task at the FMC due to the fact that MSC is not a party to the California proceeding.

Thus, for **\$142,385.00** of unlawful charges—that were waived by MSC afterward due to their violation of the Incentive Principle—were also unlawful for DHE to invoice to ICL, and the full amount must be credited by DHE to ICL. This is true whether or not, MSC reimburses DHE the amounts which MSC retained of the per diem paid by DHE which it should not have. Compl.

¶ 13.

D. This claim should be heard at the FMC.

Based on the purpose of the Shipping Act, the FMC is the appropriate and exclusive forum for this dispute brought by an NVO that was charged unlawful per diem from the VOCC and the motor carrier acting in conjunction with the VOCC to violate the Shipping Act. The FMC purposes

“to (1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs; (2) ensure an efficient, competitive, and economical transportation system in the ocean commerce of the United States; (3) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs and supporting commerce; and (4) promote the growth and development of United States exports through a competitive and efficient system for the carriage of goods by water in the foreign commerce of the United States, and by placing a greater reliance on the marketplace.”

46 U.S.C. § 40101.

The FMC would be unable to fulfill its statutory purpose, if it were to turn away this case as to DHE. The pleadings sufficiently state a claim related to violations at the heart of the Shipping Act.

III. Any Claims of Filing this Case Based on Improper Purpose are Meritless.

DHE brings a preposterous motion for sanctions, claiming that no good-faith arguments have been made by ICL's Complaint. Mot. to Dismiss at 15. However, as shown by the material facts identified above (based on the Complaint), ICL had a good faith basis to file the Complaint in the first place—particularly given that DHE's actions and involvement in the disputed transaction are undoubtedly governed by the Shipping Act. As noted above, a Complainant may bring a plausible claim for relief under the Shipping Act. Doing so should not be condemned as sanctionable because of DHE's limited construction and understanding of the regulations and precedent case law. ICL puts forth both plausible and supported arguments establishing the Commission's jurisdiction of the matter at hand and DHE's involvement in transactions which violate the Shipping Act.

Furthermore, it is evident that counsel's conduct does not implicate 46 C.F.R. § 502.6(a) nor any other violation of ethical practice and responsibility for bringing a claim. Under Section 502.6(a), the signature of an attorney representing a party in an FMC matter constitutes a certificate that the filing is, "to the best of the signer's knowledge, information and belief formed after reasonable inquiry, well grounded in fact" and warranted by the law, and not "interposed for any improper purpose, such as to harass or to cause unnecessary delay or a needless increase in

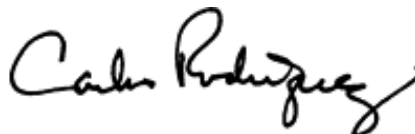
the cost of litigation.” 46 C.F.R. § 502.6(a). For a “willful” violation, the Commission may take “appropriate disciplinary action.” *Id.*

DHE claims a willful violation but does not set forth any plausible factual justifications that a violation has occurred, let alone any that support the imposition of sanctions based on a willful violation. DHE lacks any support that this claim is a litigation tactic to continue to avoid payment for services rendered, the allegations in the complainant are well grounded in fact and meet Section 502.6 standards. ICL has made several attempts to resolve the dispute which arises due to DHE’s violative billing. However, after no resolution, ICL will not accept DHE’s attempt to pass-through charges that are in clear violation of the Shipping Act and based on expenses and gross efforts by ICL to eliminate the detention charges based on FMC regulations relating to the Interpretive Principle.

Courts refrain from ordering extreme sanctions absent extreme circumstances. *MCS Industries, Inc. v. MSC Mediterranean Shipping Company SA.*, 2022 FMC LEXIS 442, *21 (2022). The matter of issuance of sanction orders is one within the discretion of the presiding judge. As to the efficacy of sanctions, not only is a sanctions request highly premature and blatantly inappropriate, it should be noted that under Rule 11, the filing of a motion for sanctions is itself subject to the requirements of the rule and can also lead to sanctions. Not only is DHE’s motion for sanctions unfoundedly inappropriate, it is a striking illustration of the Court’s concern with using sanctions in a manner which would chill an attorney’s motive to pursue factual or legal theories. It is clear that no conduct nor claim set forth by ICL has reached a level warranting any sort of sanctions. As none of the reasons proffered by Respondent are sufficient to support sanctions, Respondent’s motion should be denied as both substantively meritless and procedurally inappropriate.

Dated: February 20, 2024

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Carlos Rodriguez", is positioned above a horizontal line. To the right of the signature, there is a vertical line segment.

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CERTIFICATE OF SERVICE

I hereby certify that on this **twentieth day of February 2024**, a copy of the foregoing Opposition to Respondent's Motion to Dismiss has been served upon all counsel of record in accordance with 46 C.F.R. § 502.

A handwritten signature in black ink, appearing to read "Julia Banegas", with a long horizontal flourish extending to the right.

Julia Banegas
Counsel for ICL USA, Inc.